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EXECUTIVE INTELLIGENCE FOR ENERGY LEADERS

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ROAD TO SEPTEMBER 9

Edition 3 · Tuesday, 21 July 2026 · **50 Days to Submission**

The Money Question

"A plan states what you will do.
The Fund proves you can pay for it."

EXECUTIVE SNAPSHOT

Most operators preparing for 9 September are focused on the D&A Plan. Fewer have grasped that the Plan is only half the obligation. The Regulations require operators not merely to describe decommissioning but to demonstrate, to the Commission's satisfaction, how it will be financed.

The instrument for that demonstration is the Decommissioning and Abandonment Fund. It is not an escrow account opened to satisfy a checkbox. It is a regulated financial mechanism with prescribed contribution rules, institutional requirements, partner obligations and enforcement powers that can ultimately extend to crude liftings.

This edition examines what the Fund actually requires, and why, for many operators, the finance function now holds the longest lead time in the countdown.

INTELLIGENCE BRIEF

The logic of the Fund is simple and unforgiving: decommissioning liabilities mature precisely when an asset stops generating revenue. An obligation that falls due at the moment income ends cannot be financed from that income. It must be financed in advance, from production that is still flowing.

The Regulations therefore treat the Fund not as a corporate promise but as segregated, protected money. The tests the Commission will apply are financial, not rhetorical:

- Is the Fund actually established, with an executed agreement, or merely described in the Plan?
- Do the contributions follow the prescribed basis, or a schedule the operator found convenient?
- Is the money held with an institution of the required standing, properly insulated from the operator's balance sheet?
- Are all parties to the asset contributing in proportion to their obligations?
- Does the Fund's projected value at cessation actually meet the cost estimate in the Plan it accompanies?

That last question closes the loop with Edition 2. The cost estimate and the Fund are two halves of a single demonstration. A credible estimate with no funding path fails. A funded account built on an understated estimate fails differently, and later, which is worse.

WHAT THE REGULATIONS REQUIRE

1. A Fund per licence or lease, on a statutory clock.

Regulation 19(1) requires every licensee and lessee to establish a dedicated Fund for each licence or lease it holds. The timelines are explicit: holders of a Petroleum Prospecting Licence within 180 days of Work Programme approval, holders of a Petroleum Mining Lease within 180 days of grant, and existing licensees without an approved D&A Plan must submit that Plan within six months of the Regulations' commencement and establish the Fund within 180 days of Plan approval. The Commission must be notified within 14 days of the Fund's establishment. Operators holding multiple assets may, with approval, consolidate contributions into a single Fund account.

Note the arithmetic hiding in that provision: the Regulations commenced on 9 March 2026. Six months later is 9 September. The deadline this series counts down to is the Plan deadline, and the Plan's approval starts the Fund's own 180-day clock.

2. Yearly cash contributions, per the approved Plan.

Regulation 20 requires yearly cash contributions into the Fund as stated in the approved D&A Plan, or by any other procedure the Commission may prescribe. Cash is the operative word: the contribution is money moved, not a provision booked. The structural consequence is that the cost estimate inside the Plan directly sets the contribution schedule. An operator who understates the estimate to soften contributions is borrowing from a future enforcement action.

3. Escrow, with rated institutions only.

The Fund is held in escrow with a qualifying Nigerian financial institution rated A+ or its equivalent by Standard & Poor's, Fitch, Moody's, Agusto & Co. or GCR Ratings. Where a holding institution's rating falls below the threshold, the operator has 90 days to apply for a replacement, with deemed approval if the Commission does not respond within 14 days. Fund monies may be invested only in low-risk instruments meeting the prescribed minimum rating. The Commission's concern throughout is survivorship: the money must exist even if the operator does not.

4. Joint venture, PSC and partner obligations.

Each party's share of the decommissioning obligation carries a corresponding funding obligation, whether the relationship is a joint venture or a profit sharing contract. For licences and leases in which an international oil company holds a participating or economic interest, including joint ventures with NNPC, at least 15 percent of the total annual contribution must be held with a qualifying Nigerian institution, with the balance permitted in a foreign institution rated A+ or equivalent. Partners and contractors should expect to evidence their own contributions. A carried partner or a distressed co-venturer is not a defence; it is a disclosure.

5. Enforcement that reaches revenue.

The framework gives the Commission direct remedies. Where an operator defaults on its decommissioning obligations, the regulator can access the Fund and pay third parties to perform the work. Where contributions themselves are not made, enforcement can ultimately extend to the operator's crude liftings. This is the provision boards should read twice. The Commission does not need to litigate its way to the money; the architecture puts the money, and the revenue behind it, within reach.

6. Tax treatment.

Contributions to a Commission-approved Fund are tax deductible under section 263(1)(e) of the PIA, with the Finance Act 2023 extending equivalent treatment under the Petroleum Profits Tax Act. Two conditions matter: the contribution must be cash-backed, and a statement of account for the Fund must be produced. Book provisions that are not cash-backed are disallowed. At end of field life, any surplus in the Fund returns to the licensee and is taxable at that point. Operators modelling the Fund as pure cost are modelling it wrong; the deduction materially changes the economics of contributing early versus late.

EXECUTIVE DASHBOARD

Indicator	Status
Countdown to Submission	**50 Days**
Submission Deadline	9 September 2026
Penalty for Non-Submission	USD 500,000 per year of continuing default, or possible licence revocation
Unauthorised Decommissioning	USD 1,000,000
Offshore Application Requirement	At least 60 months before proposed commencement
Executive Risk Level	**Increasing ▲**

THE BOARDROOM QUESTION

If the Commission asked today for evidence that your D&A Fund exists, is correctly funded to date, and is held with a qualifying institution, what could you produce this week?

Most organisations can produce a description. The Regulations ask for an instrument.

WHERE FUNDING DEMONSTRATIONS FAIL

The weaknesses are rarely arithmetical. They are structural.

- ✓ A Fund described in the Plan but not yet executed with any institution
- ✓ Contribution schedules built for cash-flow comfort rather than the prescribed basis
- ✓ Cost estimates and Fund projections prepared by different teams that have never reconciled
- ✓ Partner contributions assumed rather than evidenced
- ✓ No named executive who owns the Fund's adequacy

Finance usually discovers these issues at submission. Governance should discover them now.

STRATEGIC IMPLICATION

The Fund converts decommissioning from an engineering deliverable into a treasury obligation with a compounding clock. Every month of delay increases the required contribution rate for the months that remain, because the same terminal liability must be met from a shorter contribution window.

For late-life assets the arithmetic is stark: an asset with five years of production remaining must fund in five years what an early-life asset funds across decades. This is why the finance team, not the engineering team, now holds the longest lead time to 9 September. Engineering can draft a Plan in weeks. Establishing a compliant Fund, agreeing partner contributions, and evidencing institutional arrangements is a programme measured in months.

WHAT LEADING OPERATORS WILL BE DOING THIS WEEK

- Confirming whether a compliant Fund exists for each asset, and if not, initiating establishment now
- Reconciling the Plan's cost estimate against the Fund's projected value at cessation
- Engaging joint venture and profit sharing contract partners on contribution evidence before the Commission does
- Briefing the board on the enforcement provisions, particularly those reaching crude liftings
- Assigning a single accountable executive for funding adequacy

REGULATION WATCH

Regulation 5(13) prescribes the thirteen mandatory components of every decommissioning programme, including the cost estimate the Fund must satisfy.

Regulation 19 prescribes the establishment of the Fund per licence or lease, its statutory timelines, and the escrow and institutional rating requirements. **Regulation 20** prescribes the yearly cash contributions per the approved Plan.

Regulation 23 confirms that decommissioning obligations remain attached to the asset, notwithstanding assignment of the interest. The funding obligation travels with it.

DAY ZERO INSIGHT

The Plan is a promise. The Fund is proof.
The Commission has seen many promises.
On 9 September, it will be counting proof.

EXECUTIVE CHECKLIST

- Fund existence confirmed, per asset
- Contribution basis verified against the prescribed formula
- Holding institution's qualification evidenced
- Cost estimate and Fund projection reconciled
- Partner contributions documented
- Enforcement exposure briefed to the board
- Accountable executive named

LOOKING AHEAD

Edition 4: The Inventory Problem.

Every demonstration examined so far rests on one foundation: knowing exactly what you own. Wells, lines, vessels, tanks, sludges, NORM. The asset register most operators hold was built for operations, not for decommissioning, and the gap between the two is where cost estimates quietly fail. Edition 4 examines what a decommissioning-grade inventory requires, and why operators who acquired assets from prior owners carry a register risk they did not create but now own.

Road to September 9 is a weekly executive intelligence publication by **Day Zero Energy Limited**, providing strategic insights on decommissioning, abandonment and regulatory compliance for Nigeria's upstream petroleum industry.
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